22. Income Tax Expense

Income tax expense is recognized based on management's best estimate of the weighted average annual income tax rate expected for the full financial year considering global minimum top-up tax. The average annual tax rate expected as of June 30, 2024 to be effective for the year ended December 31, 2024 is 14.0%.

23. Earnings per Share

(A) Basic earnings per share

Basic earnings per share for the three and six-month periods ended June 30, 2024 and 2023 are calculated as follows:

(1) Ordinary shares

	2024		2023	
(In millions of Korean won and thousands of shares)	**3 Months**	**6 Months**	**3 Months**	**6 Months**
Profit for the period attributable to owners of the parent company	9,642,653	16,263,683	1,547,018	2,948,270
Profit for the period available for ordinary shares	8,474,510	14,293,446	1,359,607	2,591,107
Weighted-average number of ordinary shares outstanding	5,969,783	5,969,783	5,969,783	5,969,783
Basic earnings per ordinary share *(in Korean won)*	1,419	2,394	228	434

(2) Preference shares

	2024		2023	
(In millions of Korean won and thousands of shares)	**3 Months**	**6 Months**	**3 Months**	**6 Months**
Profit for the period attributable to owners of the parent company	9,642,653	16,263,683	1,547,018	2,948,270
Profit for the period available for preference shares	1,168,143	1,970,237	187,411	357,163
Weighted-average number of preference shares outstanding	822,887	822,887	822,887	822,887
Basic earnings per preference share *(in Korean won)*	1,419	2,394	228	434

(B) Diluted earnings per share

The Company does not have dilutive potential ordinary shares and as a result, basic earnings per share and diluted earnings per share are the same for the three and six-month periods ended June 30, 2024 and 2023.

24. Statements of Cash Flows

The Company used the indirect method to present cash flows from operating activities. Adjustments and changes in assets and liabilities arising from operating activities for the six-month periods ended June 30, 2024 and 2023 are as follows:

- Adjustments

(In millions of Korean won)	**2024**	**2023**
Adjustments:		
Income tax expense	2,706,014	241,205
Financial income	(3,582,400)	(3,619,551)
Financial expenses	2,161,371	2,601,229
Post-employment benefits	714,936	551,510
Depreciation	18,607,158	17,568,639
Amortization	1,465,554	1,576,451
(Reversal of) bad debt expense	(20,386)	76,054
Dividend income	(72,516)	(96,788)
Share of profit of associates and joint ventures	(413,347)	(413,782)
Gain on disposal of property, plant and equipment	(28,357)	(55,047)
Loss on disposal of property, plant and equipment	31,237	20,003
Loss (Reversal of loss) on valuation of inventories	(2,777,967)	3,569,456
Other	(3,501)	(61,354)
Total	18,787,796	21,958,025

- Changes in assets and liabilities arising from operating activities

(In millions of Korean won)	**2024**	**2023**
Changes in assets and liabilities:		
Decrease (increase) in trade receivables	(4,814,802)	727,124
Decrease in other receivables	269,310	990,666
Increase in prepaid expenses	(4,706)	(449,776)
Decrease (increase) in inventories	68,248	(5,846,100)
Increase (decrease) in trade payables	(196,504)	635,101
Increase in other payables	176,912	589,905
Decrease in advances received	(117,196)	(181,346)
Increase (decrease) in withholdings	16,828	(562,980)
Increase (decrease) in accrued expenses	261,533	(4,485,803)
Increase in provisions	1,186,654	1,223,152
Payment of post-employment benefits	(567,124)	(323,060)
Other	(526,835)	(590,248)
Total	(4,247,682)	(8,273,365)

For the six-month periods ended June 30, 2024 and 2023, cash outflows from principal portion of lease liabilities (financial activities) amount to ₩ 588,341 million and ₩ 538,783 million, respectively, and cash outflows due to interest expenses (operating activities) in relation to the lease liabilities amount to ₩ 108,570 million and ₩ 94,075 million, respectively.